

CHAPTER 13

Illiquid Assets

Chapter Summary

After taking into account biases induced by infrequent trading and selection, it is unlikely that illiquid asset classes have higher risk-adjusted returns, on average, than traditional liquid stock and bond markets. However, there are significant illiquidity premiums within asset classes. Portfolio choice models incorporating illiquidity risk recommend only modest holdings of illiquid assets and that investors should demand high-risk premiums for investing in them.

1. Liquidating Harvard

No one thought it could happen to Harvard.¹

In 2008, Harvard University's endowment—the world's largest—fell victim to the worldwide plunge in asset prices triggered by the financial crisis. In contrast to its 15% average annual returns since 1980, Harvard's endowment suffered its worst decline in history, falling 22% between July 1 and October 31, 2008. More than \$8 billion in value had been wiped out in three months.

Concerned with the impending budget shortfall due to the collapse in the endowment, Harvard University President Drew Faust and Executive Vice President Edward Forst sounded the alarm by sending a memo to the Council of Deans on December 2, 2008. They asked each school to cut expenses and compensation and to scale back ambitions in the face of reduced revenue. As bad as the reported losses were, they cautioned that the true losses were even worse: "Yet even the sobering figure is unlikely to capture the full extent of actual losses for this period, because it does not reflect fully updated valuations in certain managed asset classes, most notably private equity and real estate."²

¹ This is based on "Liquidating Harvard," Columbia CaseWorks ID #100312.

² Financial Update to the Council of Deans, December 2, 2008, from Faust and Forst.